

Subject Code	AF5344
Subject Title	Investments
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	The objective of this course is to offer a broad overview of investment management issues. We examine how individuals make choices among investment alternatives that have uncertain payoffs in the future. A good understanding of risk and return for individual securities and portfolios is necessary for making investment decisions. We then evaluate investment decision-making for the market as a whole to describe the asset pricing process for various securities. The course covers topics such as market liquidity, portfolio theory, asset pricing models, efficient market hypothesis, behavioral finance, fixed-income securities, equity portfolio management and portfolio performance evaluation.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Understand modern portfolio theory and its use in the investment management process; - Apply various valuation methods on different financial securities including equity, bonds, and derivatives; - Understand the process of portfolio management and portfolio performance evaluation; (Outcome 3) - Understand the challenges and opportunities in applying FinTech and data analytical skills in investment management. (Outcome 3)
Subject Synopsis/ Indicative Syllabus	The Investment Environment Typical investment instruments; investment process; risk free assets; market indexes and benchmarks; short sales; primary and secondary markets for equities and bonds; investment companies. Portfolio Theory Measure of return and risk; risk return trade-off; diversification and portfolio risk; optimal risky portfolios; risk-free lending and borrowing; asset allocation. Asset Pricing Models Capital Asset Pricing Model (CAPM)/ Discounted Cash Flow (DCF); multi-factor models. Efficient Market Hypothesis Theory and empirical evidence in favour of and against market efficiency; limits to arbitrage; behavioural finance; implication of the debate for investors. Efficient market hypothesis and the financial market turmoil of 2007-09.

	Fundamentals of Equity Valuation Valuation concepts and methods; valuation models such as dividend discount model; P/E based models. Implications of financial bubbles and crises for equity valuation. Fundamentals of Bond Analysis Basic features of debt securities; basic valuation models; yield computation; term structure of interest rates; interest rate risk; duration; management of fixed income portfolios. Fundamentals of Derivatives Securities Basic terminology; option payoffs; option strategies; use of derivatives in portfolio management. Performance Evaluation Time-weighted versus dollar-weighted returns; risk adjustment in performance evaluation; performance attribution analysis.																																																						
Teaching/Learning Methodology	The theoretical aspects of this course will be covered in the class through lectures. This allows direct contact and discussion between lecturer and students. Students learn about FinTech and data science through reading assignments, guest lectures, and hands-on practices. Assignments, newspaper articles, and case studies will be used to illustrate the application of the ideas, and to encourage independent learning skills.																																																						
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th></th><th></th></tr><tr><td>1. Class Discussion and Participation</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>2. Mid-Term Test</td><td>20%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>3. Project</td><td>20%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>4. Final Examination</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Total</td><td>100 %</td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Group project Form a group of maximum five students as soon as possible (preferably by the first class). Each week I will assign one group to be responsible for assisting in-class Q&A. Your efforts would be duly counted towards your class participation.	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d			1. Class Discussion and Participation	10%	✓	✓	✓	✓			2. Mid-Term Test	20%	✓	✓	✓	✓			3. Project	20%	✓	✓	✓	✓			4. Final Examination	50%	✓	✓	✓	✓			Total	100 %						
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	Test and Exam The mid-term test will be conducted either on a Saturday or in class to cover basic material up to date. The objective is for me to keep track of your progress and to provide a timely feedback. The mid-term test and final exam will last for one and three hours, respectively. The final exam will cover the entire course. Both the test and final exam will be closed book; however, you are permitted to bring one A4-size “crib sheet”. <i>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i> <i>To reflect the significant technology content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.</i>	
Student Study Effort Expected	Class contact:	Student Study Effort Expected
	▪ Lectures / Seminars	39 Hrs.
	Other student study effort:	
	▪ Reading	39 Hrs.
	▪ Homework and Project	39 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	Bodie, Kane, and Marcus, Investments , 13 th Edition. McGraw-Hill Education, 2024. (Required Textbook) <u>Others:</u> Mauboussin, M.J., and A. Rappaport, Expectations Investing, Columbia Business School Publishing, 2021. Damodaran, A., The Little Book of Valuation, John Wiley & Sons, Inc., 2011. Kahneman, D., Thinking, Fast and Slow , Penguin Books, 2011. Topical readings from the financial press about local and international markets.	